

International entrepreneurial orientation and international performance: The mediating role of dynamic capabilities and business strategy

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Abstract

International entrepreneurial orientation (IEO) and its potential impact on business performance in foreign markets has attracted significant research attention in recent years. However, few studies have attempted to examine how, and under what conditions, IEO results in enhanced performance for international firms. The present study aims to contribute towards filling this gap by investigating the internal mechanism through which IEO influences performance, considering the mediating effects of dynamic capabilities and international business strategy. Using data collected from 258 small- and medium-sized enterprises (SMEs) that engage in international business activities, we find that IEO contributes to the frequent use of sensing and reconfiguring, which in turn fosters international strategy comprehensiveness and implementation speed. Our results also indicate that international strategy comprehensiveness and implementation speed have a positive impact on international market performance. These findings suggest that research on the impact of IEO on performance should explore how it influences firms' dynamic capabilities and examine the effect of these dynamic capabilities on business strategy. For entrepreneurs and managers of emerging market SMEs, our results indicate that IEO should guide international expansion efforts.

KEYWORDS

dynamic capabilities, emerging markets, international business strategy, international entrepreneurial orientation, international market performance, small- and medium-sized enterprises

INTRODUCTION

The substantial growth in international trade volume and the increasing globalization of markets in recent decades have spurred a growing stream of research on the factors that contribute to firms' success in international markets (Fang & Zou, 2009; Nemkova, 2017). In an effort to enhance the understanding of the key determinants of international business performance, previous studies have drawn on multiple theoretical perspectives (Zahoor & Lew, 2022), which pertain both to the firm's internal environment (e.g., resource-based view [RBV] of the firm and dynamic capabilities theory) (Ju et al., 2018; Murray et al., 2011) and external environment (e.g., contingency

theory and industrial organization theory) (Özsomer & Simonin, 2004). These studies have contributed towards the development of a cumulative body of knowledge regarding the determinants of international business performance. Two key constructs, namely, international entrepreneurial orientation (IEO) and dynamic capabilities, have emerged as crucial factors that enable firms to successfully enter foreign markets and achieve their performance objectives (e.g., Brouthers et al., 2015; Fang & Zou, 2009; Lu et al., 2010).

International entrepreneurship has been defined by McDougall and Oviatt (2000, p. 903) as "a combination of innovative, proactive, and risk-seeking behavior that crosses national borders and is intended to create value in

organizations.” IEO emphasizes top management’s disposition or propensity to act entrepreneurially (Freeman & Cavusgil, 2007; Matsuno et al., 2002). A review of the relevant literature indicates a positive relationship between IEO and various indicators of international performance (Covin & Miller, 2014). Pursuing IEO enables firms to identify and effectively exploit business opportunities overseas, by acting innovatively and assuming certain risks that are inherently involved in such operations (Kim & Lim, 2022).

Dynamic capabilities theory emerged as an extension of the RBV of the firm (Barney, 1991). RBV has been broadly defined to include a bundle of firm resources, capabilities, and processes that enable a firm to achieve a competitive advantage by implementing a value-creating strategy (Barney, 1991). Dynamic capabilities theory emphasizes a firm’s ability to respond to environmental and market volatility. Teece et al. (1997, p. 516) define dynamic capabilities as the “ability to integrate, build, and reconfigure internal and external competencies to address rapidly changing environments.” Thus, the dynamic capabilities perspective focuses on the firm’s ability to renew its resources in concert with changes in the environment (Bowman & Ambrosini, 2003). The possession and utilization of dynamic capabilities becomes particularly important for firms operating in international markets (Xu et al., 2018) that are commonly more complicated, turbulent, competitive, and volatile than domestic markets (Makri et al., 2017).

Against this backdrop, the main objective of this study is to investigate the internal process through which IEO and dynamic capabilities enhance the performance of international small- and medium-sized enterprises (SMEs) originating in an emerging country. In particular, we propose that the dynamic capabilities of international SMEs are significantly enhanced and upgraded when the firm adopts an entrepreneurial orientation (EO). As a key business orientation (Zahoor & Lew, 2022), EO captures top management’s propensity for risk-taking, innovativeness, and proactiveness (Freeman & Cavusgil, 2007). Accordingly, entrepreneurially oriented international SMEs are actively engaged in seeking opportunities and acquiring information in overseas markets (i.e., proactiveness), willingly invest in activities with uncertain outcomes (i.e., risk-taking), and emphasize the introduction of innovative products and services, as well as the adoption of creative processes, techniques and technologies (i.e., innovativeness). By focusing on these activities and processes, international SMEs further develop their dynamic capabilities. The second major thesis we adopt in this study is that the influence of dynamic capabilities on international business performance is not direct but rather mediated by the employment of an appropriate international business strategy. Strategy reflects a firm’s short- and long-term responses to the challenges and opportunities posed by the environment (Knight, 2000). Thus, a firm is highly unlikely to achieve

its performance objectives unless it develops and implements an effective business strategy. Dynamic capabilities facilitate the strategy process by enabling a firm to develop an international business strategy that reflects the changing market trends and environmental conditions and by reconfiguring its resources and adapting its internal processes (Zahra et al., 2022). In this study, we examine two aspects of strategy that are particularly important and relevant for international SMEs: comprehensiveness and implementation speed (Atuahene-Gima & Murray, 2004; Thomas & Ambrosini, 2015). Strategy comprehensiveness is defined as the extent to which project members are extensive and exhaustive in their search for market information, the application of numerous alternative courses of action, the examination of multiple explanations, and the use of specific criteria when making decisions on strategy development and execution (Atuahene-Gima & Murray, 2004). Implementation speed is a key element of strategy implementation and captures the pace of activities between the point at which project members formulate a strategy and the point when they fully deploy it in the marketplace (Atuahene-Gima & Murray, 2004). Implementation speed is crucially important for international SMEs, because competition in foreign markets is very intensive and foreign customers’ needs and preferences may change considerably over time, meaning that first movers may gain a significant competitive advantage (Pastelakos et al., 2023).

We develop a comprehensive conceptual model, which we test using primary data obtained from 258 Nigerian SMEs by means of a large-scale online survey. Our findings provide strong support for the expected positive impact of IEO on SMEs’ dynamic capabilities, which in turn strengthen firms’ international business strategy. We also demonstrate that international business strategy enhances SMEs’ international market performance. Further statistical analysis reveals that the full-mediation model we propose compares favorably against alternative partial-mediation models that consider the direct effects of IEO and dynamic capabilities on international market performance. Concurrently, we find that IEO and dynamic capabilities have significant indirect effects on international market performance. Lastly, we show that market turbulence and competitive intensity have a significant moderating effect on the relationship between dynamic capabilities and international business strategy.

The present study contributes to the extant literature in three different ways. First, we provide empirical evidence of the internal mechanism that links IEO with international business performance, through the mediating effects of dynamic capabilities and international business strategy. In this way, we offer a comprehensive conceptual framework that integrates the international entrepreneurship and strategy literatures, also informed by dynamic capabilities theory. Second, we provide significant insights regarding the relevance, importance, and

performance consequences of IEO, dynamic capabilities, and business strategy in the context of international SMEs originating in an emerging economy. For SMEs, the complexities of operating in a globalized business environment are considerably more onerous than for their larger counterparts (Knight, 2000; Knight & Kim, 2009). Furthermore, the lack of supporting infrastructure combined with a weak institutional environment constitutes a serious barrier for SMEs originating in emerging countries that endeavor to enter and penetrate foreign markets (Pastelakos et al., 2023). Thus, it is important to demonstrate how EO and a strategic planning process can be applied in this particular context to enable international SMEs to effectively pursue their internationalization objectives. Finally, we demonstrate how key environmental factors, namely, market dynamism and competitive intensity, moderate the relationship between dynamic capabilities and international business strategy (Schilke et al., 2018). The impact of environmental forces on business strategy is widely acknowledged in the strategy literature (Dess, 1987). For SMEs operating in overseas markets, a high degree of market volatility urges them to closely monitor environmental changes and respond accordingly through their strategic actions. Furthermore, faced with intensive competition, international SMEs need to seek continuous information and opportunities to stay competitive (Acs & Audretsch, 1988).

The rest of the study is organized as follows. The next section outlines the theoretical background, introduces the conceptual model that directed the execution of the study, and develops the research hypotheses. Next, the research methodology is described, and the results of the statistical analysis are presented. The article concludes by discussing the key findings and implications, addressing the limitations of the study, and identifying future research avenues.

THEORETICAL BACKGROUND AND RESEARCH HYPOTHESES

IEO

A strategic orientation reflects the direction set by a firm to develop the appropriate behaviors that lead to superior performance (Gatignon & Xuereb, 1997; Slater et al., 2006). According to Atuahene-Gima and Ko (2001, p. 55), strategic orientations “are social learning orientations that aim to maintain a coherence between management’s strategic intent and operational activities ... they create internal environments in which desired behaviors are encouraged and supported.” We propose that IEO is an appropriate strategic orientation for international SMEs aiming to expand their activities in overseas markets. IEO is as an extension of the EO construct, which was originally developed to explain entrepreneurial

behavior in a domestic setting (Brouthers et al., 2015). The initial construct (Covin & Slevin, 1989; Miller, 1983) comprised three dimensions: *innovativeness* (the predisposition to engage in creativity and experimentation), *risk-taking* (the willingness to take bold actions and venture into the unknown, when outcomes may be uncertain), and *proactiveness* (an opportunity-seeking, forward-looking perspective, characterized by the introduction of new products and services ahead of competition and acting in anticipation of future demand). Subsequently, Lumpkin and Dess (1996) introduced two additional dimensions to the EO construct: *competitive aggressiveness* (the intensity of a firm’s effort to outperform rivals, characterized by a strong offensive posture) and *autonomy* (independent actions undertaken by entrepreneurial leaders or teams). In this study, we focus on the three original dimensions of EO (i.e., innovativeness, risk-taking, and proactiveness). The main reason for this approach is that during our pre-study interviews with SME managers, it was evident that these firms do not possess either the resources or the experience to engage in aggressive actions against their competitors in foreign markets. Moreover, decision-making with respect to international business activities is highly centralized, and therefore, the autonomy dimension was not particularly relevant for these firms. Apart from this, however, a review of the relevant literature indicates that the majority of previous studies on IEO/EO adopted the original three-dimension conceptualization, which indicates its wide acceptance among academic researchers (Rauch et al., 2009).

IEO is especially important for international SMEs. These firms possess limited resources and therefore, to successfully compete in foreign markets with their larger counterparts, they need to develop innovative strategies that provide a competitive advantage (Brouthers et al., 2015). IEO allows firms to rapidly identify international opportunities and develop capabilities accordingly to achieve success (L. Zhou et al., 2010). Furthermore, it promotes a higher level of information-scanning activities that enable the firm to quickly develop foreign market knowledge and respond effectively to changes in the external market environment (L. Zhou, 2007). Therefore, entrepreneurial activities are the starting point for the creation of dynamic capabilities (Zahra et al., 2006). Building dynamic capabilities requires internal processes and efforts, rather than acquisitions from market transactions (Griffith & Harvey, 2001; K. Z. Zhou & Li, 2010). We propose that IEO is an internal process that leads to the creation of dynamic capabilities that are unique and difficult for competitors to imitate (Maury, 2018).

Dynamic capabilities

Dynamic capabilities theory emerged as an extension of the RBV (Barney, 1991). Early studies on the RBV

(Barney, 1991) adopted a broad definition of resources, including not only assets and capabilities but also other relevant firm-specific attributes (e.g., organizational processes and knowledge). However, as the theory evolved, researchers made a clear distinction between resources and capabilities (Covin & Miller, 2014; Lu et al., 2010). Day (1994) defines assets as the resource endowments that firms have accumulated and capabilities as the glue that brings these assets together for deployment. Capabilities are deeply entrenched in organizational practices and routines and therefore are the most valuable, inimitable, and non-substitutable resources of the firm (Moorman & Slotegraaf, 1999). Nevertheless, early definitions offered a static portrayal of capabilities, failing to explain how capabilities were developed or how they adapted to environmental and market changes (Day, 2011). This gap in the capabilities literature was addressed by the development of the dynamic capabilities theory. Dynamic capabilities reflect the firm's ability to integrate, build, and reconfigure internal and external competencies to address rapidly changing environments (Efrat et al., 2018; Teece et al., 1997). Dynamic capabilities are particularly important for firms operating in foreign markets, mainly as a result of the distinctly different and turbulent environments that often prevail in host countries (Rice et al., 2015). Dynamic capabilities can contribute greatly towards international SMEs' success, because under hostile environmental and market conditions, they provide the required competencies "... so as to achieve congruence with the changing business environment; certain innovative responses are required when time-to-market and timing are crucial, the rate of technological change is rapid, and the nature of future

competition and markets difficult to determine" (Teece et al., 1997, p. 515).

According to Teece (2007), dynamic capabilities can be disaggregated into a firm's capacities to (1) sense and shape opportunities (scanning, search, and exploration activities across markets and technologies), (2) seize opportunities (evaluation of existing and emerging capabilities and possible investments in relevant designs and technologies that are most likely to achieve marketplace acceptance), and (3) redeploy and reconfigure their resource base (capacity to recombine resources and operating capabilities) (Wilden et al., 2013). Following Wilden and Gudergan (2015), we argue that it is not the mere possession of dynamic capabilities that drives positive outcomes, but the frequency of their use. Furthermore, in line with these authors, we focus on two dynamic capabilities that we consider as the most relevant and important in the case of international SMEs: sensing and reconfiguring. Although we acknowledge that seizing is also an important dynamic capability, it often implies investments in new resources, which is less likely among resource-constrained SMEs based in emerging economies.

Figure 1 presents the conceptual model that directed the execution of this study. As the model suggests, IEO processes (proactiveness, risk-taking, and innovativeness) assist firms in building relevant dynamic capabilities (sensing and reconfiguring). In turn, dynamic capabilities facilitate international strategy comprehensiveness and implementation speed in foreign markets. Moreover, international strategy comprehensiveness and implementation speed have a positive impact on international market performance.

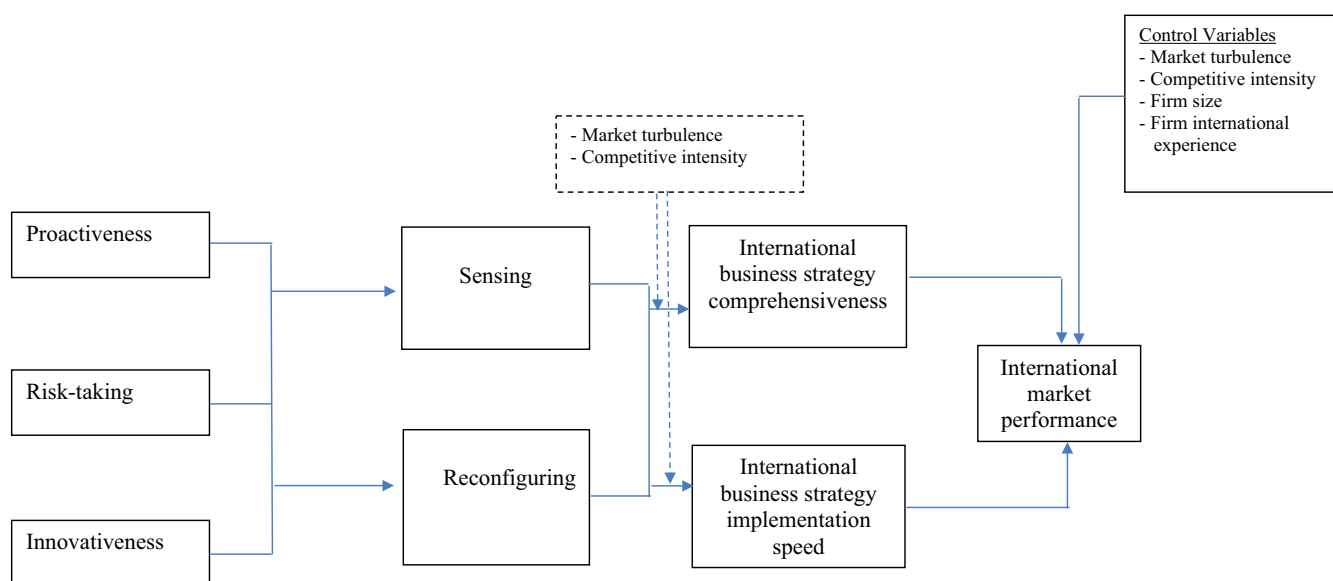


FIGURE 1 A conceptual model of international entrepreneurial orientation, dynamic capabilities, business strategy, and market performance in international SMEs. *Note:* Dashed lines represent moderating effects.

RESEARCH HYPOTHESES

Proactiveness, sensing, and reconfiguring

As a strategic orientation, IEO favors the adoption of an opportunity-seeking behavior and the exploration of foreign markets in ways that may confer advantages to the firm (Wiklund & Shepherd, 2011). Proactive firms are highly committed to observing foreign markets, establishing international contacts, and identifying international business opportunities (L. Zhou et al., 2010). They also try to predict market trends and anticipate future demand (Rauch et al., 2009). Furthermore, proactiveness enables firms to sense where dynamic capabilities can produce strategic leverage and how to best deploy, integrate, and manage them (L. Zhou et al., 2010). This behavior is likely to strengthen sensing, which is an important function of a firm's dynamic capabilities that signifies its ability to learn about customers, competitors, and broader environmental forces in targeted foreign markets (Day, 1994, 2011; L. Zhou et al., 2010). Therefore, sensing represents a crucial dynamic capability that is directed by a proactive international entrepreneurial rationale (Newey & Zahra, 2009).

Proactiveness also involves responsiveness to market signals and empowers firms to anticipate and act on expressed or latent customer needs and preferences (Lumpkin & Dess, 1996). To succeed in foreign markets, international SMEs must develop a strong reconfiguring capability that allows them to adjust their organizational resources and capabilities in response to changes in foreign markets (Qaiyum & Wang, 2018; Teece, 2007; Wilden & Gudergan, 2015; Winter, 2003). International SMEs that are proactive in their approaches to international markets are likely to engage more frequently in reconfiguring processes, which involve extending and modifying their capabilities, and adopting business models, structures, strategies, and technologies that match the conditions and demands of the market (L. Zhou et al., 2010). Therefore:

H1a. Proactiveness in international SMEs is positively related to frequent engagement in sensing processes.

H1b. Proactiveness in international SMEs is positively related to frequent engagement in reconfiguring processes.

Risk-taking, sensing, and reconfiguring

Entrepreneurial firms carefully balance risk against opportunities when pursuing expansion in foreign markets, are tolerant of any risks that may arise, and have a shared vision of risks (L. Zhou et al., 2010). Risk-taking is a precursor for entrepreneurial firms striving to identify

growth opportunities in foreign markets (Zahra, 2005). Internationalization is an uncertain and risky process because it often brings firms into unfamiliar, hostile, and demanding foreign markets (L. Zhou et al., 2010). Risk tolerance, however, can lead to market failure and significant losses if the firm does not concurrently employ effective market-scanning and information-acquisition mechanisms that provide the necessary input for initiating effective responses to evolving market conditions (Zhang et al., 2019). Therefore, the high risks associated with the entrepreneurial process (Hughes et al., 2007), along with the inherent complexities involved in international expansion, should urge firms to more frequently deploy relevant dynamic capabilities, such as sensing (Wilden & Gudergan, 2015). In addition, risk-taking represents a willingness by international entrepreneurial firms to commit resources to new ventures when the outcome of such actions is highly uncertain (Knight, 2000). When pursuing opportunities in foreign markets, firms need to quickly adjust and change their internal resource configurations to align cross-functional business processes with prevailing environmental conditions and market demand (Fang & Zou, 2009). This may require large resource commitments, which only risk-taking firms are willing to make. Therefore:

H2a. Risk-taking in international SMEs is positively related to frequent engagement in sensing processes.

H2b. Risk-taking in international SMEs is positively related to frequent engagement in reconfiguring processes.

Innovativeness, sensing, and reconfiguring

Lumpkin and Dess (1996, p. 142) define innovativeness as a "firm's tendency to engage in and support new ideas, novelty, experimentation, and creative processes that may result in new products, services, or technological processes." As this definition implies, firms adopting an EO are involved in exploratory learning through efficient innovative actions (L. Zhou et al., 2010). Innovative actions allow entrepreneurial firms to access various resources that may facilitate their internationalization process (Oviatt & McDougall, 2005). To promote innovativeness, international entrepreneurial firms devote their efforts to encouraging new ways of thinking directed towards the advancement of promising ideas that facilitate foreign market development strategies (L. Zhou et al., 2010). Innovative approaches to internationalization may involve finding unique ways to search for and exploit foreign markets, such as devising new product specifications, and employing novel ways to serve foreign customers effectively and efficiently (L. Zhou et al., 2010). Thus, the innovativeness dimension of EO is

likely to contribute significantly to upgrading a firm's sensing capabilities, which reflect the ability to explore across markets and learn about customers, competitors, and the broader market environment (Day, 1994; Teece, 2007). Innovativeness is also likely to enhance reconfiguring capabilities because innovative firms are in a better position to conceive effective ways of reconfiguring external and internal resources and competencies when responding to the conditions of foreign environments (Fang & Zou, 2009; Teece et al., 1997). Furthermore, changing or reconfiguring existing routines and substantive capabilities in dynamic and unpredictable environments (which is often a necessity for firms transcending national boundaries) is a major challenge (Zahra et al., 2006) that firms can overcome by adopting innovative ways of thinking and engaging in new processes and mechanisms (Efrat et al., 2018). As a result, we expect that the innovative values of entrepreneurial firms assist in the advancement of their reconfiguring capabilities. Therefore:

H3a. Innovativeness in international SMEs is positively related to frequent engagement in sensing processes.

H3b. Innovativeness in international SMEs is positively related to frequent engagement in reconfiguring processes.

Sensing, reconfiguring, international business strategy comprehensiveness, and international business strategy implementation speed

How well an organization formulates and implements a business strategy is affected by the extent to which it effectively adapts its dynamic capabilities to the requirements of its environment (Gumusluoglu & Acur, 2016). Dynamic capabilities enable entrepreneurial firms that internationalize their efforts to develop and upgrade their new market knowledge base and, in this way, stay well ahead of competition (Day, 2011; L. Zhou et al., 2010). The more entrepreneurial firms engage in sensing and reconfiguring, the more their dynamic capabilities are strengthened and incorporated into organizational memory (George, 2005; Wilden et al., 2019; Wilden & Gudergan, 2015). Further, dynamic capabilities assist companies to adjust their strategies to changing environmental conditions and to improve their operating routines (Ambrosini et al., 2009; Eisenhardt & Martin, 2000; Wilhelm et al., 2015; Zollo & Winter, 2002). Thus, dynamic capabilities, through their sensing and reconfiguring dimensions, assist in strategy formation. The development of a comprehensive international business strategy necessitates the employment of appropriate internal processes (Atuahene-Gima & Murray, 2004; Noble & Mokwa, 1999). Comprehensiveness refers to the

“extent to which an organization attempts to be exhaustive or conclusive in making and integrating strategic decisions” (Fredrickson, 1986, p. 474). Furthermore, to produce desirable outcomes, a business strategy must be effectively and efficiently implemented. Accordingly, implementation speed, defined as “the pace of activities between the time managers formulate a strategy and the time they deploy it in the marketplace” (Atuahene-Gima & Murray, 2004, p. 36) is a key element of the strategic planning process. We propose that dynamic capabilities such as frequent sensing and reconfiguring contribute to the speedy implementation of international business strategy, as they enable the firm to scan, search, and explore the targeted foreign markets and accordingly adapt its management methods, business process, and overall strategic approach (Teece, 2007). Therefore:

H4. Frequent sensing is positively related to (a) international business strategy comprehensiveness and (b) international business strategy implementation speed.

H5. Frequent reconfiguring is positively related to (a) international business strategy comprehensiveness and (b) international business strategy implementation speed.

International business strategy comprehensiveness, international business strategy implementation speed, and international market performance

An issue that draws attention in strategy research is the conditions under which comprehensiveness affects firm behavior and outcomes (Atuahene-Gima & Murray, 2004; Heavey et al., 2009). Strategy comprehensiveness is considered as a fundamental characteristic of strategic decision-making in organizations (Eisenhardt, 1989), involving the development of multiple strategic alternatives, and the employment of multiple criteria by decision-makers for their evaluation (Forbes, 2007). Therefore, comprehensiveness facilitates rational strategic planning (Atuahene-Gima & Murray, 2004; Thomas & Ambrosini, 2015) and considers the rigor and interpretation of collected information that facilitates strategy implementation under conditions of uncertainty (Eisenhardt, 1989; Forbes, 2007). According to Thomas and Ambrosini (2015), comprehensiveness embeds both formality and flexibility, allowing the development of multiple options through extensive scanning and adaptation to new information, with the objective of alignment. Consequently, it enhances managerial confidence and efficient decision-making (Menon et al., 1999). Strategy comprehensiveness is expected to enhance performance because it facilitates the acquisition of diverse

information about the environment and enables managers to assess the strengths and weaknesses of several strategic options before committing to specific strategies (Atuahene-Gima & Murray, 2004; Eisenhardt, 1989). Successful strategic decisions are based not only on robust problem analysis (strategy comprehensiveness) but also on their timely manner of execution (Talaular et al., 2005). Thus, a key element of successful strategy implementation is speed. Empirical research recognizes the important role of speed as a competitive advantage attribute that influences several organizational processes (Dykes et al., 2019). Furthermore, Eisenhardt (1989) reveals that decision-making in successful companies is both fast and comprehensive. Speedy implementation assists the firm in grasping opportunities that appear in the international marketplace; it implies an ability to deal with potential obstacles to the efficacy of a strategy and may bring the firm first-to-market benefits (Atuahene-Gima & Murray, 2004). Therefore, it is expected that both strategy comprehensiveness and strategy implementation speed enhance performance in international markets:

H6a. International business strategy comprehensiveness is positively related to international market performance.

H6b. International business strategy implementation speed is positively related to international market performance.

The moderating effects of market turbulence and competitive intensity

Dynamic capabilities facilitate strategic decision-making (Thomas & Ambrosini, 2015) but may demonstrate different levels of influence on firm strategy under different levels of market turbulence and competitive intensity (Wang et al., 2015; Zahra et al., 2006). Eisenhardt and Martin (2000) argue that in highly turbulent markets, efficient business models are unclear, and firms survive by focusing on the creation of situation-specific knowledge (Sull & Eisenhardt, 2015). In this respect, firms that internationalize their operations are expected to use dynamic capabilities to stimulate exploration (Frank et al., 2017). Thus, under conditions of intense competition and high market turbulence, sensing new opportunities is an issue of utmost importance for strategy formulation. Sensing capability enables the detection of changing opportunities in the external environment and thus offers SMEs the opportunity to implement successful strategies and increase their performance (Hernández-Linares & López-Fernández, 2018). Additionally, internationalization necessitates flexible reconfiguring and highlights the need to develop capacity to change and adapt to the conditions of the foreign market

(Arikan et al., 2022). The development of efficient reconfiguration is a complex process that implies knowledge accumulation (Bartlett & Ghoshal, 1989) and the transformation of business models, strategies, and resources (Arikan et al., 2022). These reconfiguration processes can be applied more effectively under conditions of low competition and less dynamic market environments. Thus, the effect of reconfiguring on international business strategy comprehensiveness is expected to be stronger under low levels of competitive intensity and foreign market turbulence. Therefore:

H7. The positive impact of sensing on international business strategy comprehensiveness is stronger at (a) higher levels of market turbulence and (b) higher levels of competitive intensity.

H8. The positive impact of reconfiguring on international business strategy comprehensiveness is stronger at (a) lower levels of market turbulence and (b) lower levels of competitive intensity.

Implementation speed captures the acceleration of the decision-making activities from their conception to their implementation (Atuahene-Gima & Murray, 2004). For firms operating in relatively stable environments, strategy implementation presents few challenges, because managers have a thorough knowledge and understanding of customers' needs and demands, competitors' strategies and actions, and prevailing technologies (Wilden & Gudergan, 2015). On the other hand, for firms operating in highly competitive and turbulent market environments, as is commonly the case for international firms, the speedy implementation of strategy requires ongoing scanning of the environment and the acquisition of timely information about customers, competitors, and the broader business environment (Day, 1994; Jaworski & Kohli, 1993). In this context, the frequent use of sensing capabilities assists international firms to cope with such uncertainties and complexities by keeping them synchronized with environmental and market developments (Fang & Zou, 2009). Thus, sensing capabilities are more likely to facilitate strategy implementation speed at high levels of market turbulence and competitive intensity.

Reconfiguration capabilities are also important for the speedy implementation of business strategies, because they enable firms to recombine and reallocate their resources and adopt new business processes, practices, systems, and procedures to align with the environment (Teece, 2007, 2014). However, this kind of organizational transformation requires some time to materialize, and therefore, in highly turbulent and competitive environments, a firm's attempt to reconfigure its resources and capabilities may seem like shooting at a moving target. Previous research has indicated that reconfiguration

capabilities have more positive organizational outcomes at moderate levels of competitive intensity and environmental turbulence (Makadok, 2001; Schilke et al., 2018). On the basis of the above discussion, we expect that reconfiguring capabilities will have a stronger effect on international business strategy implementation speed at lower levels of market turbulence and competitive intensity. Therefore:

H9. The positive impact of sensing on international business strategy implementation speed is stronger at (a) higher levels of market turbulence and (b) higher levels of competitive intensity.

H10. The positive impact of reconfiguring on international business strategy implementation speed is stronger at (a) lower levels of market turbulence and (b) lower levels of competitive intensity.

METHODOLOGY

Sample and data collection procedures

This study is based on data collected by means of a large-scale online survey conducted in Nigeria. The study population includes endogenous Nigerian service providers involved in international operations, for various reasons. First, Nigeria is Africa's largest economy; it is also the 20th largest economy in the world. Second, as an emerging economy, Nigeria has achieved significant economic growth in recent years (with growth rates above 5%) and is considered an emerging global power. Third, Nigeria has a well-developed service sector that is now the largest in the economy, accounting for approximately 50% of total gross domestic product (Statista, 2021). The growth rate of the service sector in Nigeria far outpaces the global average. Fourth, international investors are increasingly focusing on Africa, with Nigeria serving as a key investment hub (cf. George et al., 2016).

To be eligible for inclusion in our study, firms had to have been involved in international operations for a minimum of 5 years and derive at least 10% of their revenues from foreign markets. The sampling frame was constructed from the *Nigeria Business Directory*.¹ We drew a random sample of 1000 firms of small and medium size (i.e., employing 300 employees or fewer). We telephoned each company to identify a qualified key informant from upper management who was personally involved in, and therefore knowledgeable about, the firm's international business activities. Telephone calls also enabled us to verify the eligibility of each firm for inclusion in the study, obtain accurate contact details, and invite managers to

participate. This preliminary screening process eliminated 367 firms from our sample, either because they did not satisfy our eligibility criteria (183 had less than 5 years of international experience, and 38 were subsidiaries of foreign firms) or because they declined to participate (146 firms). The remaining 633 firms were subsequently contacted by e-mail, addressed to the designated key informant. The cover letter explained the purpose and objectives of the study, reassured respondents that all information provided would remain strictly confidential, and explained that data would only be analyzed at the overall level for all participating companies. A URL link directed respondents to the website that hosted the questionnaire. The initial e-mail and a reminder sent 3 weeks later resulted in 258 completed and usable questionnaires, for an effective response rate of 41%. A comparison of answers from the first and last 50 respondents on firm demographic characteristics (e.g., firm size and international experience) and all study constructs revealed no significant differences between the two groups at the 5% level (Armstrong & Overton, 1977). Thus, non-response bias does not appear to be an issue of concern in this study.

The responding firms represent a cross-section of service industries, such as financial services, real estate, telecommunications, transport and logistics, information and computer technology, and engineering. On average, the responding firms had been involved in international operations for 13 years, conducted business activities in nine foreign countries, and employed 195 employees. The key informants in our study were upper-level managers holding positions such as international operations director/manager, general manager, and chief executive officer. Our respondents were 74.8% male and 25.2% female, 40 years old on average, and had been working with the specific company for an average of 9 years.

Common method bias (CMB)

As we collected data from a single respondent in each participating firm, the potential for CMB existed (Lu et al., 2010). To address this potential problem, we conducted Harman's one-factor test (Podsakoff & Organ, 1986). First, we performed a principal component analysis of all constructs examined in the study. The unrotated solution resulted in 10 factors with eigenvalues greater than 1.0, accounting for 71% of the variance. Furthermore, the first factor explained only 27.8% of the variance. Second, we estimated a confirmatory factor analysis (CFA) model in which all measurement items were restricted to load on a single factor. The results from this analysis indicate a poor model fit ($\chi^2_{(945)} = 6385.92$, $p < 0.001$; comparative fit index [CFI] = 0.73; non-normed fit index [NNFI] = 0.72; root mean square error of approximation [RMSEA] = 0.15). These results indicate that CMB does not pose a serious problem in

¹<http://www.nigeriasbusinessdirectory.com/>.

our study and is unlikely to explain the pattern of relationships observed among our constructs (Jarvis et al., 2003). As a further test for CMB, we employed the marker-variable approach proposed by Lindell and Whitney (2001). Because no marker variable was included in our questionnaire, we performed this analysis using the second-smallest correlation among the study latent constructs, as an estimate of the marker variable (Malhotra et al., 2006). From this estimate ($r = 0.018$, the correlation between competitive intensity and reconfiguring), we computed the CMB-adjusted correlation between all constructs, using the formulas recommended by Lindell and Whitney (2001). None of the significant correlations between our latent constructs turned out to be non-significant, providing further evidence that CMB is not a serious concern in the study.

Measures

Measures for all study constructs were derived from the literature. When necessary, we modified measurement items to reflect the international business context. We refined all measures in personal interviews with 15 managers. We conducted these personal interviews in the three cities with the highest concentration of industries across Nigeria: Lagos, Abuja, and Harcourt. Finally, we asked five academic researchers with significant experience in the international business and strategy fields to serve as expert judges and assess the face validity of the resulting scales. Table 1 presents all measurement items employed in the study, along with the results of the validity and reliability assessment.

We measured *IEO* using a scale obtained from L. Zhou et al. (2010). This construct comprises three dimensions—proactiveness, risk-taking, and innovativeness—which we treat as distinct constructs for the purposes of this study. These authors were the first to develop a comprehensive scale to measure the individual dimensions of IEO, drawing on previous contributions (e.g., Covin & Slevin, 1989). Furthermore, the empirical assessment performed by L. Zhou et al. (2010) confirmed that the specific scale possesses adequate psychometric properties. We measured *dynamic capabilities* (sensing and reconfiguring) using scales from Wilden and Guderhan (2015). These scales were based on the original work of Jantunen et al. (2005) (for sensing) and Danneels (2008) (for reconfiguring); they have also been employed in other studies (e.g., Wilden et al., 2013) and exhibit strong validity and reliability. Furthermore, the scales emphasize the frequency of use of certain activities (i.e., scales anchors were specified as *rarely* and *very often*). Thus, we considered these scales as highly appropriate for the purposes of our study. We derived our measures for *international business strategy comprehensiveness* and *international business strategy implementation speed* from Atuahene-Gima and Murray (2004). We measured

international market performance using four items obtained from Makri et al. (2017). Finally, we measured the two moderating variables, *market turbulence* and *competitive intensity*, using Jaworski and Kohli's (1993) scales, which are the scales most widely used in the relevant literature for measuring these constructs.

Control variables

We controlled for the effects of two environmental and two firm-specific variables on international market performance, to account for some of the unobserved heterogeneity in our data. In particular, we included market turbulence, competitive intensity, firm size, and firm international experience. Previous research has shown that these variables may have an effect on a firm's international business activities and performance outcomes (e.g., Lu et al., 2010; Murray et al., 2011; Özdemir et al., 2017; L. Zhou et al., 2010). We measured firm size using the natural logarithm of the total number of employees and assessed firm international experience as the natural logarithm of the number of years the firms had engaged in international operations (Lu et al., 2010).

ANALYSIS AND RESULTS

Measurement model estimation

Following Anderson and Gerbing (1988), we estimated the measurement model before the simultaneous estimation of the measurement and structural models. We performed a preliminary analysis using exploratory factor analysis and item-to-total correlation to identify any poorly performing items. This resulted in the elimination of only two items (see Table 1). With the remaining items, we performed CFA to assess the constructs' convergent and discriminant validity and reliability. In estimating the CFA model, we restricted each item to load only on its a priori specified factor. Furthermore, all factors were allowed to correlate (Gerbing & Anderson, 1988). Fit indices reveal a good fit to the data ($\chi^2_{(900)} = 1996.11$, $p < 0.01$; $\chi^2/df = 2.22$; CFI = 0.95; NNFI = 0.94; RMSEA = 0.069). Table 1 presents standardized loadings and t values obtained from the estimation of the CFA model. All factor loadings are large and significant, providing evidence of convergent validity. Discriminant validity is also evident as, for all possible pairs of constructs, the shared variance (i.e., the squared intercorrelation) is lower than the average variance extracted (AVE) for the individual constructs (Fornell & Larcker, 1981). We assessed construct reliability by calculating Cronbach's alpha coefficient, composite reliability (CR) scores, and AVE. As Table 1 shows, all constructs have alpha and CR values greater than 0.70,

TABLE 1 Measurement scales, CFA results, and reliabilities.

Constructs and measurement items	Standardized loadings ^a
International entrepreneurial orientation (7-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>)	
A. Proactiveness ($\alpha = 0.87$; CR = 0.87; AVE = 0.58)	
Our top managers have regularly attended local/foreign trade fairs.	0.70 ^b
Our top managers have usually spent some time traveling abroad.	0.70 (9.20)
Our top management actively seeks contact with suppliers or clients in international markets.	0.86 (11.12)
Our top management regularly monitors export market trends.	0.81 (10.55)
Our top management actively explores business opportunities abroad.	0.73 (9.54)
B. Risk-taking ($\alpha = 0.74$; CR = 0.74; AVE = 0.50)	
Our top management focuses on opportunities than risks abroad.	0.74 ^b
When confronted with decisions about exporting or other international operations, our top management is always tolerant to potential risks.	0.79 (10.07)
Our top managers have a shared vision of the risks of foreign markets. ^c	—
Our top management values risk-taking opportunities abroad.	0.57 (7.34)
C. Innovativeness ($\alpha = 0.82$; CR = 0.82; AVE = 0.53)	
Our top management always encourages new service ideas for international markets.	0.73 ^b
Our top management is very receptive to innovate ways of exploiting international market opportunities.	0.79 (9.76)
Our top management believes that opportunities in international markets are greater than in the domestic market.	0.70 (8.79)
Our top management continuously searches for new export markets.	0.69 (8.67)
Our top management is willing to consider new suppliers/clients abroad. ^c	—
Sensing ($\alpha = 0.83$; CR = 0.83; AVE = 0.55) (7-point scale, anchored by <i>rarely</i> and <i>very often</i>)	
People involved in international activities participate in professional association activities.	0.71 ^b
Employees involved in international activities attend scientific or professional conferences.	0.79 (10.33)
We connect with our active network of contacts with the scientific and research community.	0.75 (9.84)
We use established processes to identify international target market segments, changing customer needs, and customer innovation.	0.72 (9.44)
We observe the best practices in our sector. ^c	—
Reconfiguring ($\alpha = 0.92$; CR = 0.92; AVE = 0.61) (7-point scale, anchored by <i>rarely</i> and <i>very often</i>)	
Implementation of a new or substantially changed international service strategy.	0.78 ^b
Implementation of new kinds of management methods.	0.80 (12.23)
New or substantially changed marketing strategies or practices.	0.80 (12.25)
New or substantially changed technological equipment or service delivery processes.	0.73 (10.85)
Substantial renewal of business processes.	0.79 (11.97)
Initiation of new procedures and systems.	0.78 (11.80)
New or substantially changed ways of achieving our targets and objectives in foreign markets.	0.78 (11.76)
International business strategy comprehensiveness ($\alpha = 0.87$; CR = 0.87; AVE = 0.58) (7-point scale, anchored by <i>no extent</i> and <i>to a great extent</i>)	
Develop many alternative courses of action to achieve the intended objectives?	0.65 ^b
Conduct multiple examinations of any suggested course of action that project members want to take?	0.74 (9.01)
Thoroughly examine multiple explanations of the problems faced and the opportunities available?	0.77 (9.23)
Search extensively for possible alternative courses of action to take advantage of opportunities?	0.85 (10.01)
Consider many different criteria before deciding on which possible courses of action to take to achieve the intended objectives?	0.78 (9.40)
International business strategy implementation speed ($\alpha = 0.87$; CR = 0.87; AVE = 0.62) (7-point scale, anchored by <i>no extent</i> and <i>to a great extent</i>)	
The implementation was faster than for previous strategies.	0.82 ^b
The implementation was much faster than our planned schedule required.	0.78 (12.22)
The international service strategy was implemented faster than expected.	0.79 (12.35)
The implementation speed of the international service strategy was a critical concern of the project members.	0.74 (11.42)

(Continues)

TABLE 1 (Continued)

Constructs and measurement items	Standardized loadings ^a
International market performance ($\alpha = 0.95$; CR = 0.95; AVE = 0.84) (7-point scale, anchored by <i>much worse</i> and <i>much better</i>)	
International service venture sales volume.	0.95 ^b
International service venture service growth.	0.92 (24.91)
International service venture market share.	0.88 (21.22)
International service venture market share growth.	0.91 (24.05)
Market turbulence ($\alpha = 0.82$; CR = 0.82; AVE = 0.54) (7-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>)	
In our kind of business, customers' preferences change quite a bit over time.	0.61 ^b
We are witnessing demand for our services from customers who have never bought them before.	0.79 (8.38)
We cater to many of the same foreign customers that we used to in the past (R).	0.75 (8.10)
It is very difficult to predict any changes in this marketplace.	0.77 (8.20)
Competitive intensity ($\alpha = 0.85$; CR = 0.86; AVE = 0.55) (7-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>)	
Competition in our industry is cutthroat.	0.64 ^b
There are many "promotion wars" in our industry.	0.73 (8.48)
Anything that one competitor can offer, others can match readily.	0.70 (8.19)
Price competition is a hallmark of our industry.	0.88 (9.57)
One hears of a new competitive move almost every day.	0.74 (8.57)

Note: (R) means reverse coded item.

^a*t* values are in parentheses.

^bFixed item.

^cItem dropped as a result of scale purification procedures.

satisfying the recommended threshold levels (Bagozzi & Yi, 1988). Furthermore, all constructs have an AVE equal to or greater than 0.50, providing further evidence of construct reliability (Fornell & Larcker, 1981). Table 2 presents descriptive statistics and inter-correlations among the study constructs.

Structural model estimation

We tested hypotheses H1a–H6b, which reflect the main effects, by estimating the structural model shown in Figure 1. Table 3 summarizes the results obtained from this analysis. The fit indices indicate an adequate model fit: ($\chi^2_{(1020)} = 2643.38$, $p < 0.01$; $\chi^2/df = 2.59$; CFI = 0.92; NNFI = 0.92; RMSEA = 0.079). Furthermore, an examination of estimated path coefficients and corresponding *t* values reveals that 10 of the 12 research hypotheses are supported by the findings. Regarding the impact of IEO on dynamic capabilities, our results indicate that proactiveness (H1a: $\beta = 0.69$, $t = 7.2$) and risk-taking (H2a: $\beta = 0.39$, $t = 4.90$) have a significant, positive effect on sensing. Furthermore, proactiveness (H1b: $\beta = 0.50$, $t = 6.27$), risk-taking (H2b: $\beta = 0.34$, $t = 4.44$), and innovativeness (H3b: $\beta = 0.27$, $t = 3.68$) have a significant positive impact on reconfiguring. Contrary to expectations, however, innovativeness (H3a: $\beta = -0.02$, $t = -0.29$) has no significant effect on sensing. Collectively, these results provide strong support

for the crucial role of IEO in the development of relevant dynamic capabilities.

The results also reveal that the dynamic capability of sensing has a positive impact on international business strategy comprehensiveness (H4a: $\beta = 0.39$, $t = 3.85$) and international business strategy implementation speed (H4b: $\beta = 0.37$, $t = 3.94$). Reconfiguring also has a significant positive effect on international business strategy implementation speed (H5b: $\beta = 0.31$, $t = 3.50$). On the other hand, the hypothesized positive impact of reconfiguring on international business strategy comprehensiveness is not supported by the findings (H5a: $\beta = 0.16$, $t = 1.79$). Finally, we find that international business strategy comprehensiveness (H6a: $\beta = 0.17$, $t = 2.21$) and international business strategy implementation speed (H6b: $\beta = 0.20$, $t = 2.65$) have a significant positive effect on international market performance. With respect to control variables, our findings indicate that market turbulence has a significant positive impact on international market performance. This result suggests that dynamic foreign markets, where customers' needs and requirements are highly volatile, provide great opportunities for international service providers to strengthen their presence and enhance their sales volume and market share.

Moderating effects

To test hypotheses H7a–H10b, which involve moderating effects, we employed hierarchical ordinary least squares

TABLE 2 Descriptive statistics and correlation matrix.

	1	2	3	4	5	6	7	8	9	10	11	12
1. Proactiveness	—											
2. Risk-taking	0.66	—										
3. Innovativeness	0.44	0.56	—									
4. Sensing	0.68	0.59	0.30	—								
5. Reconfiguring	0.61	0.53	0.48	0.72	—							
6. International business strategy comprehensiveness	0.38	0.36	0.34	0.45	0.42	—						
7. International business strategy implementation speed	0.44	0.42	0.36	0.51	0.54	0.72	—					
8. International market performance	0.21	0.26	0.23	0.26	0.28	0.45	0.44	—				
9. Market turbulence	0.41	0.37	0.33	0.40	0.43	0.52	0.45	0.48	—			
10. Competitive intensity	0.11	−0.04	0.02	0.11	0.02	0.28	0.14	0.18	0.38	—		
11. Firm size	0.07	0.06	−0.05	0.01	0.03	−0.02	−0.00	0.04	0.00	−0.02	—	
12. Firm international experience	−0.01	0.13	0.01	0.08	0.11	0.13	0.14	0.10	0.08	−0.06	0.44	—
Mean score	5.68	5.38	5.51	5.33	5.31	5.61	5.49	5.33	5.37	4.94	3.74	2.27
SD	1.13	1.05	1.09	1.13	1.16	0.91	0.98	1.18	1.15	1.27	1.93	0.74

Note: Correlations ≥ 0.18 are significant at $p < 0.01$. Correlations > 0.13 are significant at $p < 0.05$.

TABLE 3 Standardized path coefficients and *t* values for the structural model.

	Standardized coefficient	<i>t</i> value
Hypothesized paths		
H1a: Proactiveness → Sensing	0.69	7.22**
H1b: Proactiveness → Reconfiguring	0.50	6.27**
H2a: Risk-taking → Sensing	0.39	4.90**
H2b: Risk-taking → Reconfiguring	0.34	4.44**
H3a: Innovativeness → Sensing	−0.02	−0.29
H3b: Innovativeness → Reconfiguring	0.27	3.68**
H4a: Sensing → International business strategy comprehensiveness	0.39	3.85**
H4b: Sensing → International business strategy implementation speed	0.37	3.94**
H5a: Reconfiguring → International business strategy comprehensiveness	0.16	1.79
H5b: Reconfiguring → International business strategy implementation speed	0.31	3.50**
H6a: International business strategy comprehensiveness → International market performance	0.17	2.21*
H6b: International business strategy implementation speed → International market performance	0.20	2.65*
Control variables		
Market turbulence → International market performance	0.38	4.61**
Competitive intensity → International market performance	−0.00	−0.01
Firm size → International market performance	0.03	0.51
Firm international experience → International market performance	0.01	0.14

Note: Fit statistics for structural model: $\chi^2_{(1020)} = 2643.38$, $p < 0.01$; $\chi^2/df = 2.59$; CFI = 0.92; NNFI = 0.92; RMSEA = 0.079.

* $p < 0.05$.

** $p < 0.01$.

regression analysis. We mean-centered the independent variables (sensing and reconfiguring) and moderating variables (market turbulence and competitive intensity) before constructing the interaction terms to reduce the potential problem of multicollinearity (Aiken & West, 1991). For each of the two dependent variables

(international business strategy comprehensiveness and international business strategy implementation speed), we estimated three models: Model 1 includes the intercept and moderating variables, Model 2 introduces the main effects, and Model 3 introduces the interaction terms. Each successive model explains a significantly higher

percentage of the variance of the dependent variable. With respect to international business strategy comprehensiveness, Model 3 (the full model) explains 37% of the variance (Table 4, panel A), whereas with respect to international business strategy implementation speed, Model 3 explains 38% of the variance (Table 4, panel B). Table 4 presents the results obtained from the moderated regression analysis. Sensing has a significant impact on international business strategy comprehensiveness (Model 2, panel A), and both sensing and reconfiguring have a significant positive effect on international business strategy implementation speed (Model 2, panel B). These results provide further evidence for the robustness of our findings.

Our analysis of moderating effects follows the procedure recommended by Aiken and West (1991). The interactions between sensing and market turbulence (H7a: $\beta = 0.15$, $t = 1.45$) and sensing and competitive intensity (H7b: $\beta = 0.15$, $t = 1.83$) have no significant effect on international business strategy comprehensiveness. Thus, H7a and H7b are not supported. Nonetheless, simple slope analysis reveals that at high levels of market turbulence and competitive intensity, sensing has a strong and significant positive effect on international business strategy comprehensiveness. In contrast, at low levels of market turbulence and competitive intensity, the effect is very small and insignificant (Figure 2a and Table 5). In support of H8a and H8b, our findings indicate that the

TABLE 4 Moderated regression analysis results.

A. Dependent variable: international business strategy comprehensiveness	Model 1	Model 2	Model 3
Constant	5.60 (115.65***)	5.61 (121.88***)	5.62 (117.01**)
Moderating variables			
Market turbulence	0.48 (8.28***)	0.33 (5.34***)	0.30 (4.56**)
Competitive intensity	0.10 (1.66*)	0.13 (2.28**)	0.14 (2.40*)
Main effects			
Sensing		0.22 (2.90***)	0.19 (2.37*)
Reconfiguring		0.12 (1.55)	0.16 (2.02*)
Interaction effects			
H7a: Sensing $\times$ market turbulence			0.15 (1.45)
H7b: Sensing $\times$ competitive intensity			0.15 (1.83)
H8a: Reconfiguring $\times$ market turbulence			-0.23 (2.32*)
H8b: Reconfiguring $\times$ competitive intensity			-0.25 (-2.94**)
F value	47.88**	34.13**	19.80**
Adjusted R^2	0.27	0.34	0.37
ΔR^2	—	0.08**	0.04**
B. Dependent variable: International business strategy implementation speed	Model 1	Model 2	Model 3
Constant	5.49 (99.97**)	5.49 (112.06**)	5.49 (106.76**)
Moderating variables			
Market turbulence	0.46 (7.56**)	0.23 (3.75**)	0.23 (3.56**)
Competitive intensity	-0.03 (-0.56)	0.03 (0.50)	0.52 (0.60)
Main effects			
Sensing		0.19 (2.58*)	0.17 (2.16*)
Reconfiguring		0.31 (4.09**)	0.32 (3.94**)
Interaction effects			
H9a: Sensing $\times$ market turbulence			0.24 (2.40*)
H9b: Sensing $\times$ competitive intensity			0.21 (2.59*)
H10a: Reconfiguring $\times$ market turbulence			-0.27 (-2.73**)
H10b: Reconfiguring $\times$ competitive intensity			-0.20 (-2.37*)
F value	31.69**	36.74**	20.75**
Adjusted R^2	0.19	0.36	0.38
ΔR^2	—	0.17**	0.03*

Note: Bold values are the coefficients and t values relating to moderating effects.

* $p < 0.05$.

** $p < 0.01$.

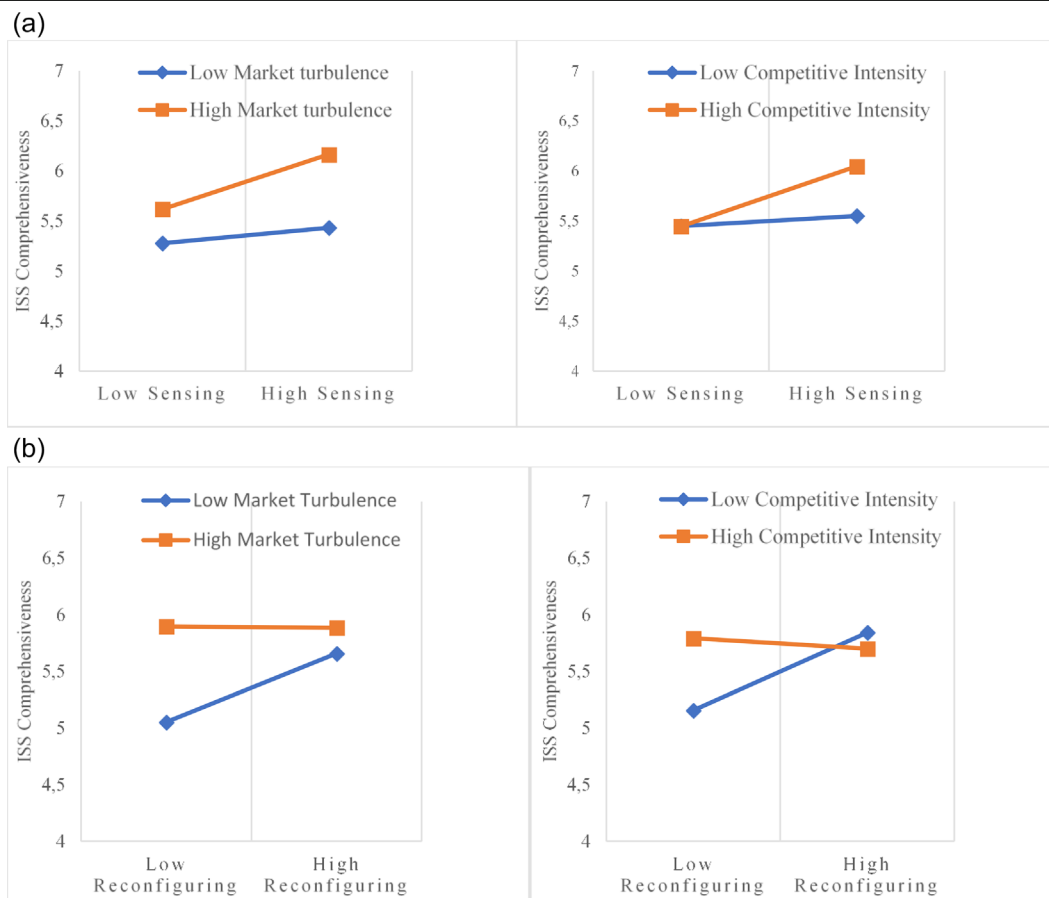


FIGURE 2 (a) The moderating role of market turbulence and competitive intensity on the effect of *sensing* on international business strategy (ISS) comprehensiveness. (b) The moderating role of market turbulence and competitive intensity on the effect of *reconfiguring* on ISS comprehensiveness.

interaction between reconfiguring and market turbulence (H8a: $\beta = -0.23$, $t = 2.32$) and reconfiguring and competitive intensity (H8b: $\beta = -0.25$, $t = -2.94$) have a significant negative impact on international business strategy comprehensiveness. These results are confirmed by simple slope analysis (Figure 2b and Table 5), which indicates that at low levels of market turbulence and competitive intensity, reconfiguring has a strong positive effect on international business strategy comprehensiveness, whereas at high levels of these moderators, the effect is small and insignificant.

As predicted by H9a and H9b, the interactions between sensing and market turbulence (H9a: $\beta = 0.24$, $t = 2.40$) and sensing and competitive intensity (H9b: $\beta = 0.21$, $t = 2.59$) have a positive impact on international business strategy implementation speed. Simple slope analysis (Figure 3a and Table 5) provides further evidence that at high levels of market turbulence and competitive intensity, sensing has a strong positive effect on international business strategy implementation speed, whereas at low levels of these moderators, the effect is weak and insignificant. Finally, in support of H10a and H10b, we find that the interactions between reconfiguring and market turbulence (H10a: $\beta = -0.27$, $t = -2.73$)

and reconfiguring and competitive intensity (H10b: $\beta = -0.20$, $t = -2.37$) have a significant negative impact on international business strategy implementation speed. Simple slope analysis (Figure 3b and Table 5) confirms these results, revealing that at low levels of market turbulence and competitive intensity, reconfiguring has a strong positive effect on international business strategy implementation speed, whereas at high levels of these moderators, the effect is very weak and insignificant.

Further analysis

The proposed structural model (Figure 1) is a full-mediation model, which captures only the indirect effects of IEO and dynamic capabilities on international market performance, through the mediating effect of dynamic capabilities and international business strategy. To examine whether these constructs also have a direct effect on international market performance, we compare this model with three alternative partial-mediation models. Alternative Model 1 includes five additional paths that directly link IEO and dynamic capabilities with international market performance. Alternative Model 2 includes

TABLE 5 Simple slope analysis results.

	Low market turbulence ^a	High market turbulence ^b
Sensing → International business strategy comprehensiveness	0.07 (0.91)	0.24 (2.38*)
Sensing → International business strategy implementation speed	−0.00 (−0.02)	0.30 (2.86**)
Reconfiguring → International business strategy comprehensiveness	0.26 (3.47**)	−0.01 (−0.05)
Reconfiguring → International business strategy implementation speed	0.44 (5.32**)	0.10 (0.95)
	Low competitive intensity ^a	High competitive intensity ^b
Sensing → International business strategy comprehensiveness	0.05 (0.45)	0.27 (3.88**)
Sensing → International business strategy implementation speed	−0.02 (−0.15)	0.32 (3.73**)
Reconfiguring → International business strategy comprehensiveness	0.30 (2.99**)	−0.04 (−0.58)
Reconfiguring → International business strategy implementation speed	0.41 (3.98**)	0.12 (1.63)

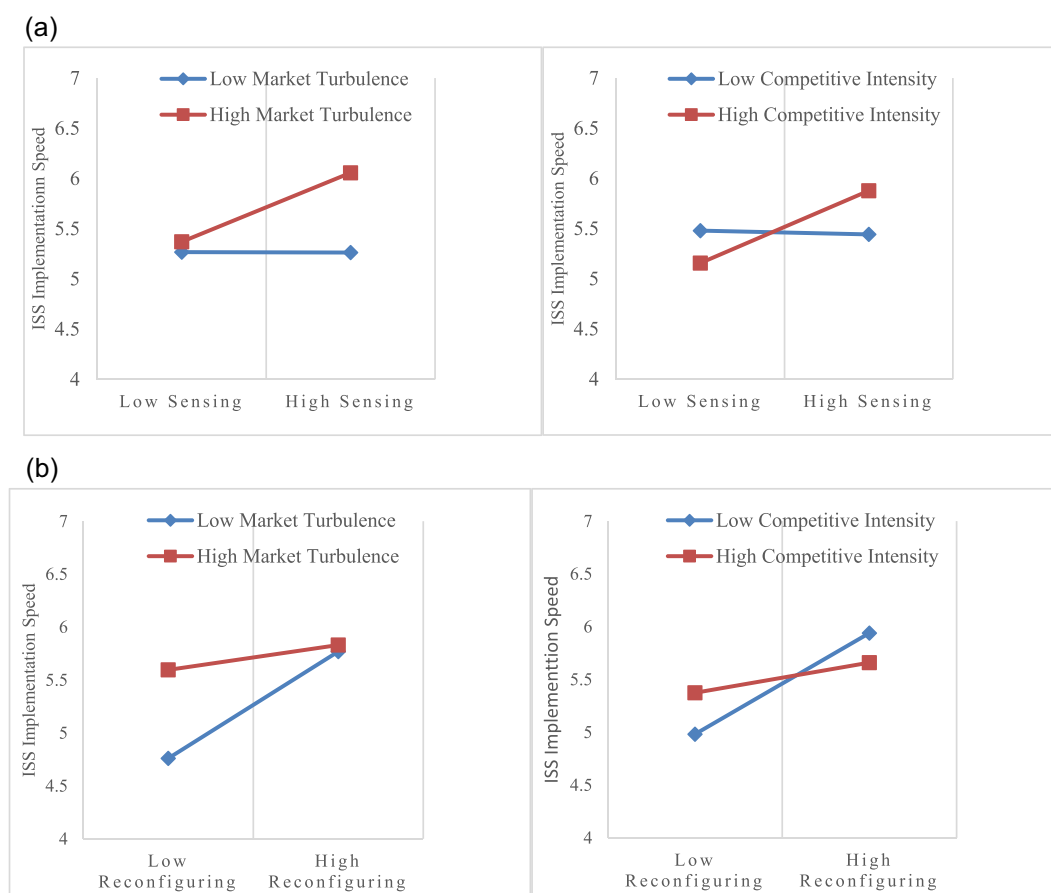
^aOne standard deviation below the mean.^bOne standard deviation above the mean.* $p < 0.05$.** $p < 0.01$.

FIGURE 3 (a) The moderating role of market turbulence and competitive intensity on the effect of *sensing* on international business strategy (ISS) implementation speed. (b) The moderating role of market turbulence and competitive intensity on the effect of *reconfiguring* on ISS implementation speed.

three additional paths that directly link IEO to international market performance, and Alternative Model 3 includes two additional paths that directly link dynamic capabilities to international market performance. The results obtained from the estimation of the three

alternative partial-mediation models indicate that none has a better fit to the proposed full-mediation model (Alternative Model 1: $\chi^2_{(1015)} = 2640.15$; $\Delta\chi^2_{(5)} = 3.23$, $p = 0.66$. Alternative Model 2: $\chi^2_{(1017)} = 2640.22$; $\Delta\chi^2_{(3)} = 3.16$, $p = 0.37$. Alternative Model 3:

TABLE 6 Indirect effects on international market performance.

Indirect effect	Standardized coefficient	<i>t</i> value
Proactiveness → International market performance	0.14	3.70**
Risk-taking → International market performance	0.08	3.40**
Innovativeness → International market performance	0.02	1.51
Sensing → International market performance	0.14	3.34**
Reconfiguring → International market performance	0.09	2.75**

** $p < 0.01$.

$\chi^2_{(1018)} = 2640.92$; $\Delta\chi^2_{(2)} = 2.46$, $p = 0.29$). Therefore, for reasons of parsimony, we recommend the proposed full-mediation model (Figure 1) as the preferred model.

Further to the above, we estimate the magnitude and statistical significance of the indirect effects of the three IEO dimensions (proactiveness, risk-taking, and innovativeness) and the two dynamic capabilities (sensing and reconfiguring) on international market performance. The results obtained from this analysis are presented in Table 6. As can be inferred, except for innovativeness, all other constructs have a positive and statistically significant indirect effect on international market performance.

DISCUSSION AND IMPLICATIONS

IEO plays a crucial role in the success of firms that transcend their national boundaries and seek to exploit business opportunities overseas. Researchers from diverse academic fields, including entrepreneurship, international business, international marketing, and strategy, exhibit a strong interest in investigating the performance impact of this business orientation. The present study contributes to this stream of research by providing empirical evidence regarding the internal mechanism that links IEO to international market performance, through the mediating effect of dynamic capabilities and international business strategy.

First, our study emphasizes the crucial importance of adopting an EO when firms aim to expand their activities in international markets. For SMEs in particular, entering foreign markets per se is considered an entrepreneurial act (Ibeh & Young, 2001). However, to succeed in discovering and exploiting opportunities overseas, these firms must develop and use relevant dynamic capabilities (Zahra et al., 2006). Our findings indicate that an IEO enables SMEs to utilize their dynamic capabilities more frequently, in ways that facilitate the achievement of their performance objectives in targeted foreign markets. In particular, proactiveness and risk-taking strengthen a firm's sensing capabilities, which allow the firm to gain an in-depth knowledge and understanding of foreign markets, establish a productive network with local partners and other stakeholders, and develop a value

proposition that satisfies the changing needs and preferences of targeted market segments. Furthermore, proactiveness, risk-taking, and innovativeness strengthen a firm's reconfiguring capabilities, which facilitate the transformation of internal systems, methods, processes, and technologies to support the exploitation of emerging opportunities in foreign markets.

Second, in line with previous studies (e.g., Bowman & Ambrosini, 2003), our findings indicate that dynamic capabilities have a significant positive effect on the development of effective international business strategies. Both sensing and reconfiguring have a positive influence on strategy implementation speed. Foreign markets are commonly characterized by high volatility and intensive competition. The speedy implementation of business strategy will allow the firm to gain a significant advantage over competition by being the first to respond to an emerging market opportunity and by securing a significant market share before competitors initiate a similar reaction. However, our moderation analysis results reveal that the influence of sensing capabilities on international business strategy implementation speed becomes even greater at high levels of market turbulence and competitive intensity, because under such conditions, the timely acquisition of relevant market information is crucial. On the other hand, high market turbulence and competition intensity weaken the effect of reconfiguring capabilities on strategy implementation speed, because the instability occurring in the business environment prohibits firms from effectively adjusting their business processes and methods. We also find that sensing (but not reconfiguring) contributes greatly towards international business strategy comprehensiveness, by allowing the firm to acquire valuable insights regarding local market conditions, which provide the input for developing and evaluating alternative strategic choices, and ultimately selecting the most effective strategic response. Interestingly, however, our moderation analysis results reveal that reconfiguring has a positive (negative) effect on international business strategy comprehensiveness at low (high) levels of market turbulence and competitive intensity. These results clearly suggest that although reconfiguring capabilities are generally important, they can contribute more towards organizational success in stable business environments. On the contrary, high

environmental turbulence makes it difficult for a firm to align its systems, methods, and processes with an environment that is constantly evolving.

Lastly, our findings indicate that international business strategy comprehensiveness and implementation speed have a significant positive effect on international market performance. Thus, SMEs operating in foreign markets should first perform a comprehensive strategic analysis in order to identify the best courses of action to exploit the available opportunities and achieve the intended objectives, in the context of a specific foreign market. They should then quickly proceed in the implementation of the chosen strategy, because speed can offer a significant first-mover advantage, whereas a possible delay may result in competitors taking over the market.

Implications for research

Our study contributes to the IEO literature by providing empirical evidence regarding the internal mechanism that links IEO to performance in international markets. Although there is a wide consensus among researchers that IEO has positive performance implications, limited attention has been devoted to how, and under what conditions, IEO produces positive outcomes for international firms. We concur with previous studies that argue that the relationship between IEO and performance can be described as a black box and that therefore, there is a need to reveal the mediating mechanism that links the two constructs (e.g., Arunachalam et al., 2018). Our study indicates that dynamic capabilities and international business strategy play a significant role in translating a firm's IEO into superior market performance in foreign markets.

Previous studies acknowledge the role of dynamic capabilities in the overall IEO framework. However, some studies argue that IEO is in itself a capability (Gupta et al., 2021), whereas others suggest that dynamic capabilities mediate the relationship between IEO and performance (cf. Bitencourt et al., 2020). Our study posits that a more fruitful approach is to consider IEO as a driver of dynamic capabilities. In particular, as an important business orientation, IEO reflects top management's intent and posture towards international operations, creates an appropriate organizational culture, and shapes the way the organization members conduct important business processes (Atuahene-Gima & Ko, 2001). Given its emphasis on proactiveness, risk-taking, and innovativeness, IEO encourages activities that enhance and upgrade the firm's dynamic capabilities, in particular sensing and reconfiguring. Thus, research attempts to uncover the mechanism through which IEO impacts performance should include an investigation of the impact of IEO on firms' dynamic capabilities.

Our findings also indicate that sensing has a significant positive impact on international business strategy comprehensiveness, whereas both sensing and

reconfiguring positively influence strategy implementation speed. These results underline the crucial role of strategy as an additional mediating mechanism in the IEO-performance framework. In particular, as a dynamic, capability sensing enables international SMEs to effectively scan a targeted foreign market and acquire the information and insights that managers need to explore a range of alternative strategic options and make the most effective strategic decisions. At the same time, both sensing and reconfiguring capabilities facilitate the speedy implementation of the chosen strategy, which is a crucial success factor in dynamic, volatile, and highly competitive international markets. Reconfiguring is especially important in terms of facilitating strategy implementation speed because it allows a firm to adapt its management methods, business practices, processes, and systems to match the particular features and requirements of a specific foreign market. Thus, studies that aim to investigate the impact of dynamic capabilities on the performance of international firms should also consider the role of dynamic capabilities in strengthening a firm's ability to develop and implement effective business strategies for a focal foreign market.

Implications for practitioners

The current study underscores the significance of IEO and dynamic capabilities for entrepreneurs and managers of emerging market SMEs involved in international business activities. Our findings provide support for the proposition that IEO stimulates the frequent use of dynamic capabilities. In concert with L. Zhou's (2007) study, we find significant effects of the three IEO dimensions. Proactiveness and risk-taking are key determinants of sensing, while innovativeness is the only IEO dimension with a non-significant effect on sensing. These results corroborate previous studies suggesting that proactive, risk-taking firms emphasize sensing processes that allow them to learn more about foreign markets, identify and assess opportunities, and anticipate future trends in customer needs and preferences. The use of more conventional methods and procedures for acquiring information about foreign markets may explain the non-significant impact of innovativeness on sensing. Conversely, innovativeness has a more crucial role in influencing reconfiguring processes. Apparently, when confronted with varying conditions across different foreign environments, international SMEs seek innovative ideas and approaches to adjust their business processes, implement new management methods, adopt appropriate technologies, and reconfigure their resources and capabilities.

Additionally, our results indicate that dynamic capabilities, in the form of sensing and reconfiguring, significantly foster strategy comprehensiveness and implementation speed. These findings are in concert with Zahra et al.'s (2006) propositions confirming the crucial

role of dynamic capabilities in changing or reconfiguring existing substantive (ordinal) capabilities and strategy. In this vein, through their sensing and reconfiguring dimensions, dynamic capabilities have the capacity to impact strategy effectiveness and efficiency and significantly contribute to international firms' long-term success and viability in foreign markets. Thus, dynamic capabilities can be viewed as a strategic tool that can shape strategy comprehensiveness and implementation speed in foreign markets (Thomas & Ambrosini, 2015). Existing empirical evidence emphasizes that the success of professional service firms depends on their co-creation and adaptive capabilities (Wilden et al., 2019). Thus, international dynamic capabilities are more significant in this context because they enable service firms to offer high-quality services and provide customized solutions that add value for customers. Dynamic capabilities strengthen with use (Zahra et al., 2006); therefore, managers in emerging markets should adopt IEO to guide their intentional expansion efforts and should encourage the frequent engagement of key personnel with dynamic capabilities, which in turn improve strategy comprehensiveness and implementation speed and performance outcomes in international markets.

Our findings with respect to moderating effects provide useful insights regarding the impact of dynamic capabilities on strategic decisions under varying environmental conditions. In particular, sensing has a stronger effect on international business strategy comprehensiveness and implementation speed at high levels of market turbulence and competitive intensity. Market turbulence and competitive intensity create significant challenges for international service firms, which need to initiate timely and effective responses to changing customer needs, preferences, and purchasing habits, as well as to competitors' strategies and tactics. At the same time, significant opportunities may emerge, which international firms can try to exploit by utilizing their sensing capabilities in order to develop and implement effective strategies that match the environment conditions. In contrast, at low levels of market turbulence and competitive intensity, firms operate in relatively stable, familiar environments, so that sensing capabilities are not so critical.

However, our results indicate that the opposite is true with respect to reconfiguring capabilities. Reconfiguring requires significant changes in the firm's strategy, processes, structures, systems, and procedures. To be effective, such changes must be focused and aim towards adapting the firm's operations to the foreign market environment. When, however, the environment is highly unstable, reconfiguring is unlikely to support strategic decisions like strategy comprehensiveness and implementation speed, because the exact changes needed in order to achieve the desirable results will be highly ambiguous. Thus, firms should more frequently utilize their reconfiguring capabilities when market turbulence and competitive intensity are relatively low in targeted foreign markets.

Limitations and future research directions

A number of limitations should be considered when interpreting the findings of this study. First, the adoption of a cross-sectional research design prevents us from drawing causality conclusions about the relationships between the variables included in our conceptual model. Furthermore, we are not able to test the appropriateness of alternative models reflecting different structural relationships among the study constructs. For instance, although in this study we suggest that dynamic capabilities are antecedents to a firm's international business strategy, it is also likely that the experience firms acquire following the implementation of business strategies may assist them in further strengthening and upgrading their dynamic capabilities, or even in acquiring new capabilities. Future studies, following a longitudinal research design, could provide a more dynamic perspective and would further contribute to the understanding of the entrepreneurial process, the development of dynamic capabilities, and strategy development and execution, in the context of international service ventures. Second, for the purposes of this study we collected data from a single source within each service organization. Future research efforts should consider gathering data from various sources and at multiple levels within organizations, including foreign customers, mid-level managers, and employees in the department handling international operations. Third, we selected a specific empirical context (i.e., the service industry in an emerging African country). As a result, our findings may not generalize to other contexts. Future research efforts should focus on different research contexts in both developing and developed countries. Fourth, our study focused on two dynamic capabilities, sensing and reconfiguring, which were considered as the most relevant for the empirical context at hand. However, seizing is another important dynamic capability which can play a significant role in assisting SMEs to successfully exploit foreign market opportunities. Thus, future studies should perform a more comprehensive assessment of dynamic capabilities by examining seizing, along with sensing and reconfiguring. Finally, our empirical analysis does not consider the participating firm's current stage in the internationalization process. Future studies could try to shed light on how the relationships depicted in the conceptual model may differ across different stages of internationalization.

CONCLUSIONS

IEO is an important strategic orientation for SMEs that aspire to expand their activities overseas and successfully enter and penetrate attractive foreign markets. Our study indicates that the adoption of IEO is a crucial first step that enables SMEs to create an organizational

culture that favors entrepreneurial activities and ensures consistency between top management intent and the behaviors adopted by organizational members. Given the inherent complexities and the risks involved in international business operations, an entrepreneurial mindset encourages firms to proactively search for emerging opportunities overseas, take calculated risks, and devise innovative approaches in order to offer foreign customers better value than their competitors. This entrepreneurial process can further assist firms to strengthen their dynamic capabilities, especially those relating to gaining an in-depth knowledge and understanding of foreign markets (i.e., sensing), and transform their tangible and intangible assets to fit the conditions of the market and the environment (i.e., reconfiguring). Leveraging its dynamic capabilities, a firm can then develop and implement an appropriate business strategy for each foreign market that allows it to exploit the available opportunities and at the same time mitigate any threats. The firm must adopt a thorough strategic approach to choose the most promising courses of action among those available (i.e., business strategy comprehensiveness) and be quick in strategy implementation in order to achieve a first-mover advantage and pre-empt competitors' responses. In sum, to achieve superior performance outcomes in foreign markets, SMEs must effectively manage an internal process that starts with IEO and leads to dynamic capabilities and international business strategy.

AUTHOR CONTRIBUTIONS

Marios Theodosiou: Conceptualization; methodology; statistical analysis; writing; review and editing. **Evangelia Katsikea:** Conceptualization; methodology; writing. **Oluyomi Alarape:** Data collection; writing. **Pascale Hardy:** Writing; review and editing.

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CONFLICT OF INTEREST STATEMENT

The authors declare no conflict of interest.

DATA AVAILABILITY STATEMENT

Data available upon request.

ETHICS STATEMENT

The authors have read and agreed to the Committee on Publication Ethics (COPE) international standards for authors.

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